CSIS JAPAN CHAIR

Japan Daily Brief

Friday, November 6, 2026

2,099 words · 8 min read

RE: Russia seizes Japan Tobacco assets · Nikkei plunges 6% on AI selloff · BOJ December hike expected · Consumption tax bill clears Lower House · Okinawa Policy Council convenes · China-Japan Taiwan row enters year two

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
57,434.77	158.32	$98.78	1.25%
▼ -9.25%	▲ +0.41%	▼ -5.72%	

TOP STORIES

CHINA-JAPAN

Putin orders seizure of Japan Tobacco's Russian business

Russian President Vladimir Putin placed four Japan Tobacco manufacturing plants under Russian interim management, a move Tokyo formally protested through diplomatic channels with Finance Minister **Satsuki Katayama** confirming the protest and METI officials dispatching to Moscow. Japan Tobacco is the largest cigarette company in the Russian market; the FT frames the expropriation as a further step in Moscow's pattern of targeting Western-linked assets over Ukraine-related sanctions.

FT

ECONOMY-BOJ

Japanese stocks post biggest one-day fall since 'liberation day' chaos

The Nikkei 225 broke below 60,000 — the index now sits at 57,434 — in what the FT described as 'complete carnage,' driven by a global flight from AI-exposed equities following the Democratic 'blue wave' in US midterms raising regulatory risk expectations. Japanese investors simultaneously rotated into foreign long-term bonds as JGBs rallied on haven demand, with the 10-year yield holding at 1.50 percent.

FT

DEFENSE

Japan mulls exception to three non-nuclear principles in revised security strategy

Japan is considering carving out an exception to its longstanding three non-nuclear principles — not possessing, producing, or permitting the introduction of nuclear weapons — as part of the ongoing 2026 review of the Three Strategic Documents, per Kyodo. The move would represent the most significant revision to Japan's nuclear posture since the principles were codified, and arrives as China's Foreign Ministry publicly accuses Tokyo of 'reckless remilitarization.'

KYODO NEWS

ALLIANCE

Okinawa Policy Council meeting held for first time in 13 years

The Okinawa Policy Council met for the first time since 2013, arranged in response to a formal request from Okinawa Governor **Genta Koja** following his September gubernatorial election victory; Prime Minister Takaichi separately vowed effort to reduce the base burden on the prefecture, as US Forces Japan extended a service-member curfew imposed after a recent incident.

THE JAPAN TIMES

ECONOMY-BOJ

Strong wage growth supports Bank of Japan’s December move higher

Japan's nominal wages rose in September at their fastest pace in approximately 30 years while real wages extended their streak to a ninth consecutive monthly gain, per Labour Ministry data reported by the FT and Reuters. A former BOJ chief economist told Reuters a December rate hike is expected, with policymakers targeting a terminal rate of *2 percent*, as September meeting minutes confirm internal debate on hike size.

FT

CHINA-JAPAN

Few signs of thaw in Japan-China relations one year after Takaichi’s Taiwan remarks

One year after Prime Minister **Sanae Takaichi**'s November 7, 2025 Taiwan remarks in parliament, China's Foreign Ministry spokesperson stated Japan is 'still going in circles, failing to correct mistakes,' and separately — via Xinhua — called Japan's defense buildup plans a 'reckless' threat to regional stability. Multiple outlets including Japan Times, Nikkei Asia, and South China Morning Post report no meaningful diplomatic thaw, with Beijing conditioning any high-level resumption on Tokyo 'correcting' Takaichi's statements.

THE JAPAN TIMES

STAT OF THE DAY

~30 years

Fastest nominal wage growth pace in Japan since approx. 1996

Japan's nominal wages rose at their fastest pace in roughly three decades in September, reinforcing the case for a BOJ rate hike at the December meeting.

Japan's Nominal Wages Rise at Fastest Pace In About 30 Years — Bloomberg

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · FRIDAY, NOVEMBER 6, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — Prime Minister Takaichi's emergency cybersecurity package was publicly released and she stated Japan is 'vigilant to market moves' and focused on boosting the economy amid the Nikkei selloff.

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

Takaichi administration announces emergency cyberdefense package

The Kantei released an emergency cybersecurity package focused on strengthening public-private cooperation and building dedicated expert response teams, described as a 'cyber rescue squad.' The package follows PM Takaichi's October directive to relevant ministries to compile the measures within a week.

→ The Japan Times ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

PM Takaichi eyes BOJ ETF sale proceeds to fund economic security via new special account

Prime Minister Takaichi is seeking to channel proceeds from the Bank of Japan's planned ETF sales into a new special account dedicated to economic security funding, with plans to reinvest the proceeds. The proposal, reported by Bloomberg and BigGo Finance, would tie BOJ balance-sheet normalization directly to the government's economic security agenda.

→ Bloomberg ↗

外務省 · MINISTRY OF FOREIGN AFFAIRS (GAIMUSHO / MOFA) · *Foreign Minister Toshimitsu Motegi*

FM Motegi delivers opening message for World Tsunami Awareness Day 2026 event at UN headquarters

Foreign Minister Motegi delivered an opening message for the World Tsunami Awareness Day 2026 event at UN headquarters in New York, with participation by high school students from Iwate Prefecture — connecting Japan's March 11, 2011 disaster experience to global disaster preparedness advocacy.

→ MOFA ↗

DIET SESSIONS / LDP

HOUSE OF REPRESENTATIVES

Consumption tax cut bill on food passes Lower House in fast-tracked vote

The bill to lower the consumption tax on food cleared Japan's lower house, advancing a signature policy priority of Prime Minister Takaichi. Four LDP members including former PM Shigeru Ishiba walked out rather than vote, citing absent fiscal-offset provisions — Asahi described the scene as an 'abnormal situation' for the ruling party.

LDP

Four LDP members including former PM Ishiba absent from consumption tax cut vote over funding concerns

Former Prime Minister **Shigeru Ishiba** and three other LDP members left the chamber rather than vote for the consumption tax cut bill, citing the absence of a clear financing plan — an internal party fracture on a bill Asahi characterizes as Takaichi's 'long-cherished goal.'

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
JNN · Nov 2, 2026	**64.9%**	**32.5%**
ANN · Oct 19, 2026	**47.1%**	**33.3%**

Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026 · **23d ago**	**50.8%**	**32%**

Discourse: The LDP's internal fracture over the consumption tax cut bill — with four members including former PM Ishiba walking out of today's Lower House vote — marks an unusual public rupture within the ruling party over Takaichi's signature economic policy.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

FINANCE · BLOOMBERG · NIKKEI 225

Nikkei breaks below key 60,000 level on AI selloff; Japan bonds rally on global risk-off

The Nikkei 225 shed roughly *6 percent* in its largest single-day drop since the 'liberation day' shock, with Taiwan, South Korea, and Japan the hardest-hit Asian markets in the AI-driven selloff. Japan Government Bonds rallied simultaneously as global investors sought haven assets, compressing yields.

MACRO · REUTERS

Japan real wages rise ninth straight month in September; nominal pace hits ~30-year high

Real wages in Japan rose for the ninth consecutive month in September as nominal wage growth hit its fastest rate in approximately three decades, strengthening the BOJ's internal case — confirmed by September meeting minutes — for a December rate increase.

FINANCE · REUTERS

Japanese savers rediscover interest rates as BOJ normalization reshapes banking sector

Rising BOJ policy rates are prompting Japanese retail savers to shift back toward interest-bearing deposit products, with Reuters reporting structural pressure building on Japanese banks' net interest margins and deposit competition.

REGIONAL PRESSURE WATCH

Heavy — 61 items (34 DPRK, 10 BOJ, 6 China MOFA, 6 Chief Cabinet Sec, 4 METI, 1 MOFA)

CHINA

China's Foreign Ministry spokesperson issued its sharpest framing to date of Japan's Three Strategic Documents review, stating via Xinhua that Japan's defense plans 'lay bare ambition to speed up remilitarization' and constitute a 'reckless' threat to regional peace — timed to the one-year anniversary of PM Takaichi's Taiwan remarks. Beijing also cited Japan's 'shodo' UNESCO bid as a flashpoint, and multiple Chinese state outlets (CGTN, Global Times) stated Tokyo is 'still going in circles, failing to correct mistakes.'

NORTH KOREA

North Korea confirmed via KCNA a test of a 'newly designed' advanced air-defense missile system described by multiple outlets as resembling Russia's S-400, and separately conducted a strike drill with a Hwasal-1 strategic cruise missile fitted with a cluster-dispersal warhead targeting Riwon Airfield — the latest in a sustained testing

cycle. Kim Yo Jong ruled out Trump-Kim talks at APEC, and Kim Jong Un was separately photographed inspecting a new warship under construction at Nampho Shipyard.

RUSSIA

Russia's seizure of Japan Tobacco's four manufacturing plants under presidential order represents a direct economic action against a major Japanese corporate asset in Russia, the most concrete bilateral escalation since the Hokkaido Shimbun journalist detention. Separately, Russia stated that detained Hokkaido Shimbun reporter Yuki Imai's fate 'hinges on the probe,' with consular access still denied.

Senkaku / ECS: No new China Coast Guard intrusion or PLA vessel activity in the Senkaku territorial waters or contiguous zone is reported in today's data; the CCG's standing near-daily patrol presence in the contiguous zone continues as baseline.

"Japan's reckless remilitarization seriously threatens regional peace, stability"

Chinese Foreign Ministry spokesperson · Japan's reckless remilitarization seriously threatens regional peace, stability: Chinese foreign ministry - Xinhua

"Japan still going in circles, failing to correct mistakes"

Chinese Foreign Ministry spokesperson · Japan still going in circles, failing to correct mistakes, Chinese FM says nearly a year after Takaichi's erroneous remarks on Taiwan region - Global Times

---

Bottom line: Russia's JT asset seizure and China's sharpened 'remilitarization' rhetoric ahead of the Takaichi Taiwan-remarks anniversary are today's dominant bilateral pressure signals; North Korea's S-400-resembling SAM test and Kim Yo Jong's APEC rebuff close out an unusually active adversary-signal day without crossing the overflight or airspace-intrusion threshold.

U.S.-JAPAN RELATIONS

BASING · USFJ

USFJ Okinawa Area Coordinating Committee meets on 'Period of Reflection' and way ahead after service-member incident

US Forces Japan held an Okinawa Area Coordinating Committee meeting to address the ongoing 'Period of Reflection' and next steps following the incident that prompted the curfew extension; the readout confirms senior US and Japanese military officials discussed accountability and community relations.

ALLIANCE · YONHAP

USFK chief meets Japan's Defense Minister to discuss regional defense cooperation

The commander of US Forces Korea held discussions with Japanese Defense Minister **Shinjiro Koizumi** on regional defense cooperation, per Yonhap — an indicator of continued US force command-level engagement across the US-Japan-ROK trilateral axis.

INDO-PACIFIC PARTNERS

QUAD · NHK WORLD

Quad nations launch maritime exercise

The four Quad nations — Japan, the United States, Australia, and India — commenced a joint maritime exercise, per NHK World, as the grouping continues to expand practical maritime security cooperation in the Indo-Pacific.

SOUTHEAST ASIA · EN.BAOCHINHPHU.VN

Vietnamese General Secretary To Lam to pay official visit to Japan next week

Vietnam's top leader To Lam is due to make an official visit to Japan next week, with Tokyo describing the visit as prioritizing stronger bilateral ties; defense, trade, AI, and nuclear energy cooperation are reported agenda items.

SOUTHEAST ASIA · KHMER TIMES

Cambodia and Japan discuss defense, trade, and AI ties as new Japanese envoy takes post

Cambodia and Japan held discussions on defense, trade, and artificial intelligence cooperation as a new Japanese ambassador presented credentials in Phnom Penh, per the Khmer Times.

SOCIAL STATEMENTS

ST

Prime Minister Sanae Takaichi

Prime Minister of Japan · Yahoo Finance · Nov 6

"vigilant to market moves, will focus on boosting economy"

Analyst: Takaichi's statement on market vigilance came as the Nikkei 225 posted a roughly 6 percent single-session decline, its steepest fall since the 'liberation day' shock.

UPCOMING

Nov 7

One-year anniversary of PM Takaichi's Taiwan remarks in parliament

November 7 marks exactly one year since Prime Minister Takaichi's remarks on Taiwan in the Diet that triggered the ongoing China-Japan diplomatic freeze. Beijing has used the anniversary to escalate rhetoric, calling Japan's defense buildup 'reckless remilitarization.'

Nov 11

Vietnamese General Secretary To Lam official visit to Japan

Vietnamese General Secretary To Lam is due to pay an official visit to Japan next week, per Vietnamese government sources. Defense, trade, and AI cooperation are reported as agenda items, with Japan also expected to advance nuclear small-reactor cooperation with Hanoi.

Nov 18

BOJ Monetary Policy Meeting (December cycle, estimated)

A former BOJ chief economist told Reuters a rate hike is expected at the next policy meeting, targeting a terminal rate of 2 percent. The September meeting minutes confirm internal debate on hike size is underway.

Dec 1

Diet Upper House consideration of consumption tax cut bill

Having cleared the Lower House on November 6, the food consumption tax cut bill proceeds to the House of Councillors. Opposition parties have flagged the absence of a financing plan as grounds for resistance.

Dec 31

Current USFJ host-nation support special measures agreement continues through March 31, 2027

The current Special Measures Agreement runs at approximately ¥211 billion per year through March 31, 2027. Renegotiation timing will be shaped by the post-midterm US legislative landscape and the state of US-Japan trade talks.

JAPAN DAILY BRIEF

Washington, D.C.

Read online · Past issues

You are receiving the Japan Daily Brief as a member of the CSIS Japan Chair distribution list.

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Deirdre Martin at dmartin@csis.org.

generated 7:07 AM ET

↑ BACK TO TOP

© 2026 Center for Strategic and International Studies